

Summary of Insurance Pricing and Consumer Welfare - Evidence from Medigap

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What is the broad question?

Broadly speaking, Starc wants to investigate why the Medigap insurance market is so inefficient and why there is so much market power among two insurers.

Specific Question?

In particular, Starc uses a discrete choice model to understand consumer preferences and demand in the Medigap insurance market, using data from NAIC and MCBS, as well as understanding firm behaviors in response to this. She seeks to gain an understanding of demand elasticity and specific preferences policy buyers may have over brands. This is all in an effort to, ideally, find policy remedies which may lower premiums for people, as well as lessen the market power of UnitedHealth and Omaha State.

Policy Implications

This should be trivial to see, but health care is a massive topic in policy and thus having the information from this paper may help to inform future amendments. For instance, these results can inform validity of government provided health insurance ideas, as well as inform how to help those who need insurance by placing stricter guidelines on the health care firms.

Economic Relevance

The main relevance, in my opinion, is to show a good example of discrete choice modeling and a good model of demand. Some of her assumptions were a bit dubious, though she defends them with claims of data limitations. Further, I think that the results she obtained were striking and thus warrant economic discussion.

What we learn

We learn that there is work to be done to increase consumer welfare in the Medigap insurance market. Firstly, consumers face prices which could be lowered by place a stricter MLR on firms, with a WTP of insurance of \$532. Further, she finds there is a massive amount of brand consciousness in this market, which serves to perpetuate the power of the two key firms. Starc's counterfactual in which she lowers the brand preferences shows that there is some sort of pricing effect taking place with the firms' knowledge of these preferences. This paper provides good inference on this specific market, as well as the previously mentioned model use as a teaching method.

Empirical Strategy

I am struggling with how to answer this one, but I guess demand estimation via BLP instruments and pricing instruments.

Problems

Potential endogeneity concerns that firms will vary across markets

Overcome

Use of retaliatory tax regimes as a pricing instrument, which varies for the same firm across markets. These have another benefit in that they include firm fixed effects.